

- Contributions made to a TFSA are not tax-deductible. However, income, dividends, and capital gains on investments earned within the TFSA will not be taxed.
- Generally speaking, you can hold the same type of investments in a TFSA as you can hold in an RRSP (i.e. stocks, ETFs, bonds, mutual funds, money market funds, etc.).
- Any money taken out of a TFSA in any given year will be added to the contribution room for the following year. So, for example, if you withdraw \$500 from your TFSA in a given year, \$500 will be added to your contribution limit for the next year, increasing your contribution allowance by the amount you took out the prior year.
- There are no limits as to how much you can take out of a TFSA. However, you'd need to wait for the following year to re-contribute the amount that you took out in the previous year.

You can learn even more about these account types, their rules, and contribution limits on the Government of Canada website at [Canada.ca](https://Canada.ca) or by speaking with a licensed financial advisor.

## **Outside the United States or Canada**

If you are outside of the United States, be sure to research retirement account equivalents in your country or speak to a licensed financial advisor.

Now that you know more about the different types of retirement accounts, you can decide which is right for you. Like the sound of more than one? It's possible to have a combination of these different retirement avenues, depending on your eligibility. You can find out about your eligibility on the IRS website ([IRS.gov](https://IRS.gov)).